value investors suffer from cognitive biases and make behavioral errors. We prefer high-growth value stocks when the research is clear that high-growth value stocks underperform their low or no growth brethren. As Damodaran has observed:[76]

> *Any investment strategy that is based upon buying well-run, good companies and expecting the growth in earnings in these companies to carry prices higher is dangerous, since it ignores the possibility that the current price of the company already reflects the quality of the management and the firm. If the current price is right (and the market is paying a premium for quality), the biggest danger is that the firm loses its luster over time, and that the premium paid will dissipate. If the market is exaggerating the value of the firm, this strategy can lead to poor returns even if the firm delivers its expected growth. It is only when markets under estimate the value of firm quality that this strategy stands a chance of making excess returns.*

In 1976, more than 40 years after the publication of the first edition of *Security Analysis* in 1934, Graham gave an interview to the *Financial Analysts Journal* where he reversed his earlier position, telling the interviewer that he was "no longer an advocate of elaborate techniques of security analysis in order to find superior value opportunities."[77] Instead, Graham advocated a "highly simplified [approach] that applies a single criteria or perhaps two criteria to the price to assure that full value is present and that relies for its results on the performance of the portfolio as a whole—that is, on the group results—rather than on the expectations for individual issues." He counseled:[78]

> *What's needed is, first, a definite rule for purchasing which indicates* a priori *that you're acquiring stocks for less than they're worth. Second, you have to operate with a large enough number of stocks to make the approach effective. And finally you need a very definite guideline for selling.*

As he was in many things, Graham was ahead of his time in advocating for what sounds remarkably like a statistical-prediction rule.

Investors who embrace a deep value strategy do so as much for its returns as for its ability to identify undervalued stocks at a fundamental nadir with a poor outlook. They prize these apparently unappetizing stocks because shareholders are always more likely to cede control of a holding they apprehend to be a loser, even though the research is clear that they